



INTERNATIONAL FOUNDATION FOR DIGITAL CHILD

Financial Management Policy (FMC)

2023



IFDC 

1. Introduction

In IFDC's financial policy, financial management goes beyond accurate record-keeping. It involves strategic planning, regulation, and oversight of financial resources in line with IFDC's goals. A strong financial system ensures proper expense tracking and empowers staff to provide precise financial reports to the Governing Council and donors. Effective financial management builds trust with donors and beneficiaries, enhancing IFDC's reputation and competitiveness for long-term financial health.

2. Key Financial Management Elements

2.1. Planning Creating budgets for programs or the organization.

2.2. Organizing Clarifying roles and responsibilities.

2.3. Controlling Establishing systems and checks for resource management.

2.4. Monitoring Comparing plans to actual performance for adjustments.

3. Financial Responsibilities at IFDC

Financial responsibilities at IFDC are shared among various staff members, with the Board of Directors overseeing financial controls and accountability. The day-to-day financial tasks are usually delegated to senior staff and top management.

3.1. Board of Directors (BoD) Oversees financial controls, approves the budget and policies, reviews financial reports, and supports resource mobilization.

3.2. Financial Overseeing Committee In addition to the board of director, an independent financial overseeing committee will act as a mechanism to ensure the highest accountability of IFDC and to put best practices in place.

3.3. Director/CEO Manages budgeting, appoints financial staff, ensures accurate financial records, monitors program budget alignment, and assesses financial needs.

3.4. Senior Finance and Admin Officer (SFAO) Manages department budgets, reviews financial reports, delegates some financial responsibilities, and forecasts financial needs.

3.5. Finance and Admin Officer (FAO) Handles cash, administers payments, maintains accounts, prepares financial reports, and manages bookkeeping.

4. Objectives

The manual aims to standardize financial practices, provide guidance, establish internal controls, ensure legal compliance, control expenses, and prepare annual accounts.

5. Amendment and Maintenance

The manual is reviewed annually, and changes require approval from the BoD.

6. General Guidelines

6.1. Currency Transactions in Sri Lankan Rupees, accounting on an accrual basis. When IFDC operates in a country other than Sri Lanka, IFDC can have a different currency as per the country of operation.

6.2. Financial Year April 1st to March 31st.

6.3. Bookkeeping Uses Quick Books.

6.4. Record Retention Financial records kept for at least five years.

7. Bank Accounts

- Accounts titled International Foundation for Digital Child.
- Payments above LKR 20,000 by crossed cheques.

- Minimum two authorized signatories required.
- Signatories at any time should include one board member or one Financial overseeing committee member.
- Cheque books securely stored.
- Lost cheques reported promptly to stop payment.

8. Documentation of Transactions

8.1. Vouchers and Recording Transactions Vouchers categorize financial transactions at IFDC. Four types are used:

- a. Journal Vouchers
- b. Bank Receipt Vouchers
- c. Bank/Cash Payment Vouchers Each voucher type is sequentially numbered and must be pre-printed. Attach supporting documentation to the voucher. Once approved, transactions are recorded in the accounting system. Vouchers are stored numerically and by month.

8.2. Journal Vouchers Journal vouchers record transfers between accounts, corrections, depreciation of assets, and non-cash transactions.

8.3. Receipts Funds from donors are deposited in the relevant bank account. A Bank Receipt Voucher notes the source and account. Record the full amount received, separate bank charges.

8.4. Payments

- a. Salary payments are authorized by the Program Director, except the Director's salary, approved by the CEO.
- b. Staff should not be paid without a signed Letter of Employment delivered to the Admin Office.
- c. Routine office expenses (e.g., utilities, phone) are implicitly approved upon service initiation.
- d. All other disbursements require prior approval. Stamped "PAID" vouchers prevent duplicates.

- e. Always pay on original invoices/bills to avoid duplication.
- f. Deduct income tax at source as per the law of the country of operation.
- g. Follow current Income Tax rules and rates of the country of operation.

9. Office Supplies and Other Materials

- a. The SFAO ensures adequate basic office supplies. Monthly stock reviews prompt Purchase Requests for replenishment.
- b. IFDC procures general office supplies as needed.
- c. Finance and Admin Officer reviews Purchase Requests, and the SFAO approves them.
- d. Training workshop supplies are requested by the responsible Programme Officer. After Director approval, the SFAO procures them in line with the Procurement Policy.

10. Payroll

- a. Salaries are paid on the first working day of the following month.
- b. An attendance register forms the basis for salaries. New staff require their contract and joining report attached to their first salary voucher.
- c. Employee registration with EPF is done within a week of joining, and the 'B' card is kept by IFDC until departure.
- d. Income tax is deducted at source and must be deposited with the Government Treasury within seven days.
- e. Both employer and full-time employees contribute to the Provident Fund, with deductions made monthly.
- f. A payroll schedule is prepared by the Senior Finance and Admin Officer, including salary transfer documents signed by bank account signatories.
- g. Approved salary transfer sheets are submitted to IFDC's Bankers, and individual payslips are provided.

11. Advances

- a. Travel and workshop/training advances need immediate supervisor recommendation and SFAO approval on the Travel Request Form.

- b. Each traveler claims their advance separately. c. Other advances use the Temporary Advance Slip/Form.
- c. New advances are not granted until previous ones are fully settled.
- d. IFDC typically does not provide salary advances but may consider exceptions with the program Director' s written justification for up to one month's payroll advance.

12. Asset Accounts and Bank Accounts

12.1. Fixed Assets

- a. All fixed assets must be entered in the fixed assets register immediately after purchase. Depreciation will be calculated on the fixed assets using the reducing balance method at specified rates.
- b. Assets purchased within the first six months of the year receive full depreciation for that year, while those purchased within the last six months are charged half the percentage of depreciation.
- c. All assets purchased in any period under review are reported as fully expended to the donors.

12.2. Bank Accounts

IFDC will maintain separate bank accounts for each donor' s fund to avoid co-mingling. A separate all-purpose account will be used for other non-donor funds.

12.3. Petty Cash

Petty cash settlement and approval of petty cash vouchers are conducted regularly and reviewed by the SFAO.

12.4. Internal Payments

Payments are generally made upon presentation of invoices and follow an authorization schedule involving different staff members.

12.5. Allocation of Expenses

Each expense is assigned to an expense account and donor code, ensuring proper identification of funding sources.

12.6. Petty Cash Reconciliation

Cash reconciliation should be undertaken monthly by the person holding petty cash and reviewed by SFAO.

12.7. Bank Reconciliation

Bank reconciliations are performed monthly within three working days of receiving bank statements.

13. Liability Accounts

13.1. Contributory Provident Fund

Statutory contributions are made to EPF and ETF, and provisions for gratuity payments after 5 years of continuous service need to be made.

13.2. Accruals

Unpaid bills or contractual commitments for the period that are not yet paid are reflected as accruals.

14. Authorization Schedule

Payments are generally made upon presentation of invoices. The Finance and Admin Officer will prepare a Bank Payment Voucher and attach the relevant supporting documentation for review by the Coordinator and for the approval of payment by the SFAO. Appropriate supporting documentation and responsibilities for review and approval of the voucher for various types of payments are as follows:

Transactions/ Payments	Initiated by	Review ed by	Authorization by
Payroll	Finance Officer	Senior Finance	Program Director or Director/CEO

		Officer (SFO)	
Consultancy Local	Finance Officer	SFAO	Program Director or Director/CEO
Purchases of Capital Assets	Procurement policy applied		
Recurring costs office running	Procurement policy applied		
Workshops/ training	Relevant Program Staff	SFAO/Pr ogram Manage r (PM)	Program Director
Travel Local	Relevant Program Team	SFAO/P M	Program Director
Travel International	Program Team/ Finance Officer	SFAO	Program Director

No signatory can authorise expenditure that involves or benefit him/her-self.

15. Audit

IFDC is responsible for proper financial management, evidenced by an annual financial audit by a Chartered Accountants firm. The audit follows international auditing standards and results are communicated to major partners, donors, and posted on the IFDC website.

No signatory can authorize expenditures that involve or benefit themselves.